

People would come there expecting a certain kind of meal. However, with all his skill, he could not possibly build up a clientele if one day he served the costliest meals, the next day low-priced ones, and then without warning served nothing but exotic dishes. The corporation that keeps shifting its dividend policies becomes as unsuccessful in attracting a permanent shareholder following. Its shares do not make the best long-range investments.

As long as dividend policy is consistent, so that investors can plan ahead with some assurance, this whole matter of dividends is a far less important part of the investment picture than might be judged from the endless arguments frequently heard about the relative desirability of this dividend policy or that. The large groups in the financial community that would dispute this view fail to explain the number of stocks that have offered no prospect of anything but below-average yield for years ahead, yet which have done so well for their owners. Several examples of such stocks have already been mentioned. Another typical investment of this type is Rohm & Haas. This stock first became publicly available in 1949, when a group of investment bankers purchased a large block held by the Alien Property Custodian and reoffered it publicly. The public offering price was \$41.25. At that time the stock was paying only \$1.00 in dividends, supplemented by stock dividends. Many investors felt that in view of the low yield the stock was unattractive for conservative investment. Since this date, however, the company has continued to pay stock dividends, has raised the cash dividend at frequent intervals although the yield has remained very low, and the stock has sold at well over 400. The original owner of Rohm & Haas has received stock dividends of 4 per cent each year from 1949 through 1955, and 3 per cent in 1956, so his capital gain has been well over ten-fold.

Actually dividend considerations should be given the least, not the most, weight by those desiring to select outstanding stocks. Perhaps the most peculiar aspect of this much-discussed subject of dividends is that those giving them the least consideration usually end up getting the best dividend return. Worthy of repetition here is that over a span of five to ten years, the best dividend results will come not from the high-yield stocks but from those with the relatively low yield. So profitable are the results of the ventures opened up by exceptional managements that while they still continue the policy of paying out a low proportion of current earnings, the